

Digital Payment Sector: Competitor Benchmarking Analysis

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Introduction – Digital Payment Sector

Definition & Scope

- Digital payments refer to cashless financial transactions carried out electronically via mobile apps, cards, UPI, net banking, or digital wallets.
- They eliminate the need for physical cash, providing convenience, speed, and transparency.

Importance in India's Financial Ecosystem

- Acts as a backbone of financial inclusion, enabling millions of unbanked and underbanked people to enter the formal economy.
- Provides seamless access to government subsidies, welfare transfers, and small-ticket payments for rural and urban populations alike.

Government Push

- Initiatives like Digital India, Jan Dhan Yojana, Aadhaar-enabled payments, and BHIM UPI have accelerated adoption.
- RBI and NPCI (National Payments Corporation of India) play a crucial role in standardizing and regulating digital transactions.

Explosive Growth Post-UPI

- UPI (Unified Payments Interface), launched in 2016, has transformed digital transactions by enabling instant, interoperable, and free peer-to-peer (P2P) and merchant payments.
- UPI transactions have surpassed both debit/credit cards and mobile wallets in terms of usage.

Impact on Daily Transactions

- Today, from street vendors to luxury retailers, everyone accepts digital payments.
- Small-value payments (tea stalls, autos, groceries) have shifted dramatically to UPI QR codes.
- Businesses benefit from reduced cash handling costs, instant settlements, and better financial records.

Relevance for Businesses

- E-commerce, food delivery, ride-hailing, healthcare, and even education rely heavily on digital payment gateways.
- Digital payments enhance customer convenience and drive higher transaction volumes for businesses.

Relevance for Consumers

- Offers 24/7 availability, transparency, transaction records, and increased trust.
- Incentives such as cashback, reward points, and BNPL (Buy Now, Pay Later) options attract younger demographics.

Recent Penetration Figures (India)

(as per NPCI, RBI, and recent industry reports – 2025 data)

- UPI Transactions: Crossed 14 billion transactions/month (July 2025), with a value of over ₹24 lakh crore.
- Smartphone Users: Over 800 million Indians now own smartphones, fueling app-based payments.
- Internet Users: 900+ million internet subscribers, making India one of the largest digital economies.
- UPI Global Expansion: Accepted in countries like UAE, Singapore, Mauritius, and France.
- Wallet Usage: Declining compared to UPI but still relevant for niche segments like Paytm Wallet and Amazon Pay.

Global Recognition

- India is now the world's largest real-time payment market, contributing nearly 50% of global instant payment transactions (as per ACI Worldwide report).
- The UPI model is being studied and adopted by other countries.

Future Potential

- Integration with CBDC (Central Bank Digital Currency), AI-driven payments, and cross-border UPI will push growth further.
- Projected to contribute significantly to India's \$5 trillion economy vision by 2030.

Market Overview – Digital Payment Sector

Market Size

India's digital payments market is valued at over ₹10,00,000 crore annually, growing at double-digit rates. According to RBI & NPCI data, India is the largest real-time payments market globally, handling more than 50% of the world's instant transactions.

Overall Growth Trends

From 2016 to 2025, digital transactions in India have grown 10x, driven by UPI, Aadhaar-linked bank accounts, and smartphones. Digital payments penetration has

expanded beyond metro cities to tier-2, tier-3, and rural India, supported by affordable data plans and QR-based systems.

UPI as the Game Changer

UPI (Unified Payments Interface) has become the cornerstone of India's digital payment ecosystem. It allows seamless P2P (peer-to-peer) and P2M (peer-to-merchant) transactions, with instant settlement and no cost to users. UPI volume (2025): Over 14 billion monthly transactions, valued at ₹24+ lakh crore.

Shift from Wallets to UPI

Before UPI, digital wallets like Paytm, Mobikwik, Freecharge dominated. Post-2016, UPI disrupted wallets with interoperability and direct bank-to-bank transfers. Wallet usage is now limited to loyalty programs, small recharges, and niche user bases, while UPI leads mainstream adoption.

Integration Across Sectors

Retail: QR-based payments in kirana stores, malls, petrol pumps. E-commerce: UPI is the top payment method in Flipkart, Amazon, and food delivery apps. Transport: Auto/taxi fares, metro tickets, and tolls. Government: Tax payments, subsidies, and utility bills.

Rural & Semi-Urban Penetration

With cheap smartphones + low-cost data (Jio revolution), UPI adoption surged in smaller towns. Aadhaar-enabled Payment Systems (AePS) also allow rural customers to transact without cards. Government initiatives like DigiGaon promote cashless ecosystems in villages.

Cross-Border UPI Growth

UPI has expanded globally and is now accepted in UAE, Singapore, France, Mauritius, Sri Lanka, and Nepal. This move strengthens India's digital payment dominance and benefits tourists, students, and NRIs.

Merchant Acceptance

More than 50 million merchants in India accept UPI payments through QR codes. Micro and small businesses have rapidly onboarded due to zero setup cost and instant settlement benefits.

Future Growth Potential

The Indian digital payments market is expected to grow at 20–25% CAGR over the next 5 years. By 2030, it may cross \$1 trillion in transaction value annually. CBDC (e-Rupee) integration could further boost growth, making digital transactions mainstream.

Global Benchmark

India leads the world in real-time payments volume, ahead of China, Brazil, and the USA. The UPI model is being replicated globally due to its low-cost and highly scalable structure.

Benchmarking Framework – Digital Payment Sector

User Base & Demographics

- Total registered users, active users, and monthly active users (MAUs).
- Segmentation by age, income, geography (urban/rural, Tier 1–3 cities).
- Helps identify market reach and target audience strength.

Market Share & Growth

- Share of overall digital payments market.
- Annual growth rate in transaction volume & value.
- Position in UPI vs Wallet vs Card ecosystem.

Features & Services

- Types of payment options: UPI, wallets, cards, BNPL (Buy Now, Pay Later), EMI, bill payments, insurance, ticket booking.
- Extra features like loyalty programs, cashbacks, investment options, wealth management, credit services.

Technology & Innovation

- Platform scalability, app performance, ease of integration with merchants.
- Innovations like voice-enabled payments, AI-based fraud detection, contactless NFC, cross-border UPI.
- Differentiation in user experience (fast, secure, minimal steps).

Funding & Financial Strength

- Investor backing and funding rounds (important for fintech startups).
- Revenue streams: transaction fees, MDR (Merchant Discount Rate), lending, ads.
- Profitability vs cash-burn models.

Partnerships & Ecosystem

- Tie-ups with banks, NBFCs, government bodies, merchants, and global partners.
- Cross-industry integration (e-commerce, ride-hailing, food delivery, OTT).
- Strength of merchant acceptance network (QR code presence, POS devices).

Security & Compliance

- Adherence to RBI/NPCI regulations and data protection norms.
- Security layers: 2FA, biometric authentication, fraud prevention systems.

- Customer trust levels regarding safety of money & data.

Brand & Marketing Strategy

- User acquisition tactics: cashbacks, rewards, gamification, referral programs.
- Marketing campaigns and brand positioning (e.g., Paytm = payments + finance, PhonePe = reliability, Google Pay = simplicity).
- Level of customer engagement.

Customer Experience (CX) & User Interface

- App design, ease of use, loading time, customer support availability.
- Ratings on app stores, customer satisfaction surveys, complaint resolution speed.
- Onboarding simplicity (KYC, linking bank accounts, adding cards).

Geographic & Cross-Border Presence

- Presence in domestic vs global markets.
- Expansion strategies (e.g., UPI acceptance in international countries).
- Strength in rural India vs metro dominance.

Product Diversification

- Beyond payments: loans, insurance, investments, e-commerce, OTT tie-ins.
- Diversified ecosystems create stickiness and customer loyalty.

Future Readiness

- Ability to adapt to CBDC (e-Rupee), blockchain, AI-driven personalization, embedded finance.
- R&D focus and speed of adopting new technologies.

Company Profiles – Digital Payment Competitors

Paytm

- Founded: 2010 by Vijay Shekhar Sharma (One97 Communications).
- Core Focus: Mobile wallet, UPI, bill payments, ticketing, e-commerce, lending, insurance, wealth management.
- Target Market: Broad – urban & rural users, small merchants, e-commerce customers.
- Notable Milestones:
 - Launched as a mobile wallet in 2014, one of the earliest in India.
 - Huge push post-2016 demonetization.
 - Raised funding from SoftBank, Alibaba, and Ant Group.
 - Listed on stock exchange in 2021 (India's largest IPO at that time).
- Position in Industry: Known as a super-app offering payments + financial services, with strong merchant acceptance network (POS machines + QR).

PhonePe

- Founded: 2015, acquired by Flipkart (later Walmart-owned).
- Core Focus: UPI transactions, bill payments, recharge, insurance, mutual funds, gold purchases.
- Target Market: Mass adoption across India – heavy focus on UPI users and small businesses.
- Notable Milestones:
 - Among the first to adopt UPI in 2016.
 - Crossed 500M registered users and 35M+ merchants in 2025.
 - Launched Indus Appstore (2024) to compete with Google Play in India.
- Position in Industry: Market leader in UPI transactions by volume & value. Trusted for stability, speed, and reliability.

Google Pay (GPay)

- Founded: 2017 in India (earlier “Tez”, rebranded in 2018).
- Core Focus: UPI payments, bill payments, recharge, bank account integration, rewards.
- Target Market: Smartphone-savvy, urban, younger demographic (students, professionals).
- Notable Milestones:
 - Introduced scratch card cashback rewards – became a trendsetter.
 - Integrated with several banks for direct-to-bank UPI.
 - Holds ~30% UPI market share as of 2025.
- Position in Industry: Known for simplicity, trust (Google brand), and seamless UPI experience. Strong user engagement due to rewards.

Amazon Pay

- Founded: 2016 in India (part of Amazon global).
- Core Focus: Wallet + UPI + integration with Amazon shopping, Prime, and partner merchants.
- Target Market: Primarily Amazon shoppers, plus users of partner apps (Swiggy, BigBazaar, IRCTC, etc.).
- Notable Milestones:
 - Early adoption of wallet + UPI integration.
 - Offers EMI, BNPL, and Amazon Pay ICICI credit card with cashback.
 - Focus on loyalty through Amazon ecosystem.
- Position in Industry: More of a closed ecosystem wallet/UPI player, strong in e-commerce + loyalty, but less dominant in overall UPI volumes.

BHIM (Bharat Interface for Money)

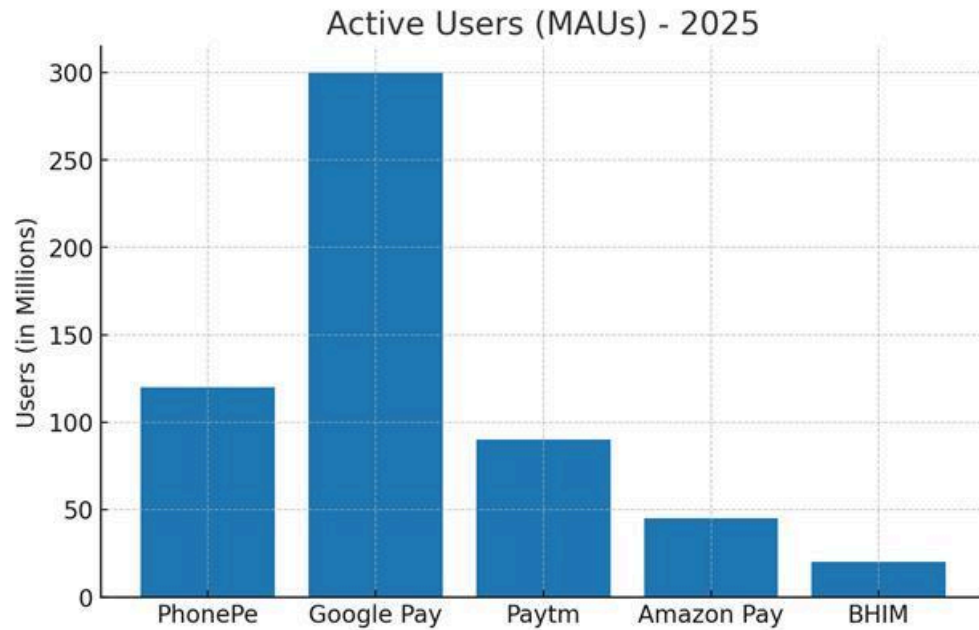
- Founded: 2016, launched by NPCI under Govt. of India.
- Core Focus: Pure UPI app for digital inclusion and government-backed trust.
- Target Market: Rural and semi-urban populations, first-time digital users.
- Notable Milestones:
 - First government-promoted UPI app.
 - Played a major role in early UPI adoption drive.
 - Offers simple, no-frills interface.
- Position in Industry: While overshadowed by private players, BHIM is symbolic of UPI's credibility and continues to be relevant in rural adoption.

Competitor Comparison Table – Digital Payment Sector (India, 2025)

Metric	Paytm	PhonePe	Google Pay	Amazon Pay	BHIM
Active Users (MAUs)	~330M+ registered, ~90M+ active	~500M+ registered, ~120M+ active	~300M+ active	~100M+ registered, ~45M+ active	~20M+ active
Transaction Volume (Monthly, 2025)	~2B+ transactions/m onth	~6B+ transactions/m onth	~4B+ transactions/m onth	~0.5B+ transactions/m onth	~0.2B+ transactions/m onth
Transaction Value (Monthly, 2025)	~₹4 lakh crore	~₹10 lakh crore (largest)	~₹7 lakh crore	~₹0.6 lakh crore	~₹0.2 lakh crore

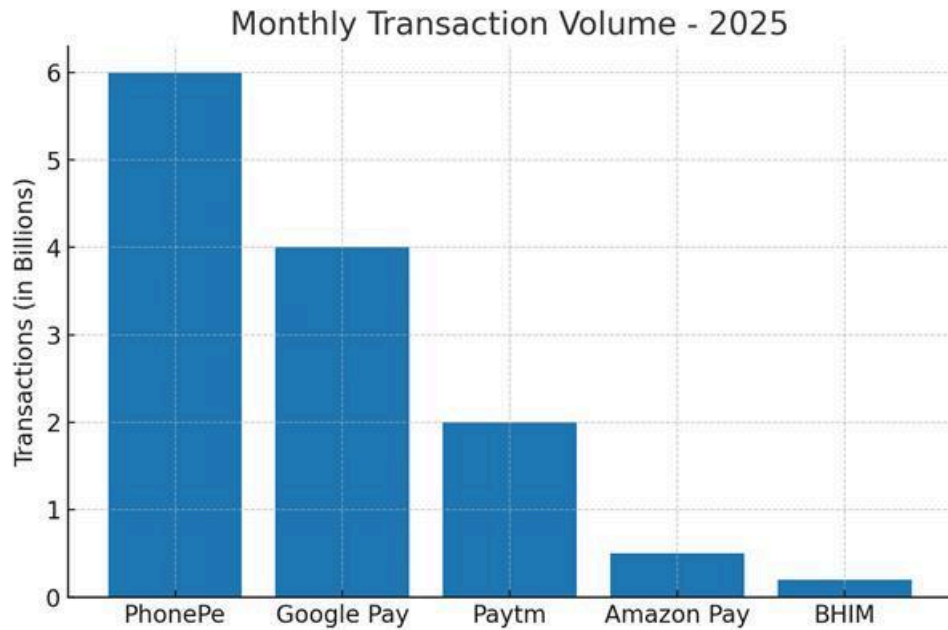
Funding Raised (till date)	\$5B+ (SoftBank, Ant Group, Alibaba, etc.)	Backed by Walmart/Flipkart, \$2B+ equity support	Part of Google (Alphabet), funded internally	Part of Amazon (global), funded internally	Govt.-backed (NPCI)
Merchant Network Size	25M+ merchants (QR + POS devices)	35M+ merchants (largest network)	15M+ merchants	~9M+ merchants (Amazon + partners)	~2M+ merchants
Unique Product Features	Wallet + UPI + POS + Loans + Insurance + Investments	UPI + Gold + Insurance + Indus Appstore	Rewards (scratch cards), simplicity, AI-based fraud detection	Wallet + UPI + Amazon ecosystem + Co-branded credit card	Simple UPI app, Aadhaar-linked, govt. backed
Credit/Finance Integration	Strong (Paytm Postpaid, Paytm Bank, loans, insurance, stocks)	Expanding (mutual funds, insurance, small credit tie-ups)	Limited (focused only on UPI + rewards)	Amazon Pay Later, ICICI co-branded card	None
Rewards & Loyalty	Cashback, vouchers, scratch cards	Cashback, rewards, games	Scratch cards, cashback (popular)	Amazon loyalty integration (cashback, Prime benefits)	None (basic app)

Security Features	RBI-compliant, KYC, fraud monitoring	RBI-compliant, fraud prevention AI	Strong security (Google infra)	Linked with Amazon's global systems	RBI/NPCI backed, Aadhaar-based
Geographic Coverage	Pan-India + global wallet acceptance (limited)	Pan-India, UPI cross-border tie-ups (UAE, Singapore)	Pan-India, global Google infra but only India UPI	India-focused, global Amazon Pay ecosystem	India-focused, rural-heavy
Market Share (UPI Transactions)	~15%	~46% (market leader)	~30%	~4%	~1%
Reputation/Position	Super-app + finance ecosystem	UPI leader, reliability	Simplicity, rewards, urban youth focus	E-commerce loyalty-driven	Government-backed trust, rural adoption



Active Users (MAUs) – Bar Chart

- Google Pay leads with **300M+ active users**, showing strong adoption in urban and tech-savvy demographics.
- PhonePe follows with **120M active users**, though its registered base is much larger (~500M).
- Paytm remains competitive with **90M active users**, leveraging its super-app model.
- Amazon Pay (45M) and BHIM (20M) have relatively smaller active user bases.
- The chart highlights **Google Pay's dominance in user activity**, but **PhonePe's merchant network strength** balances the competition.



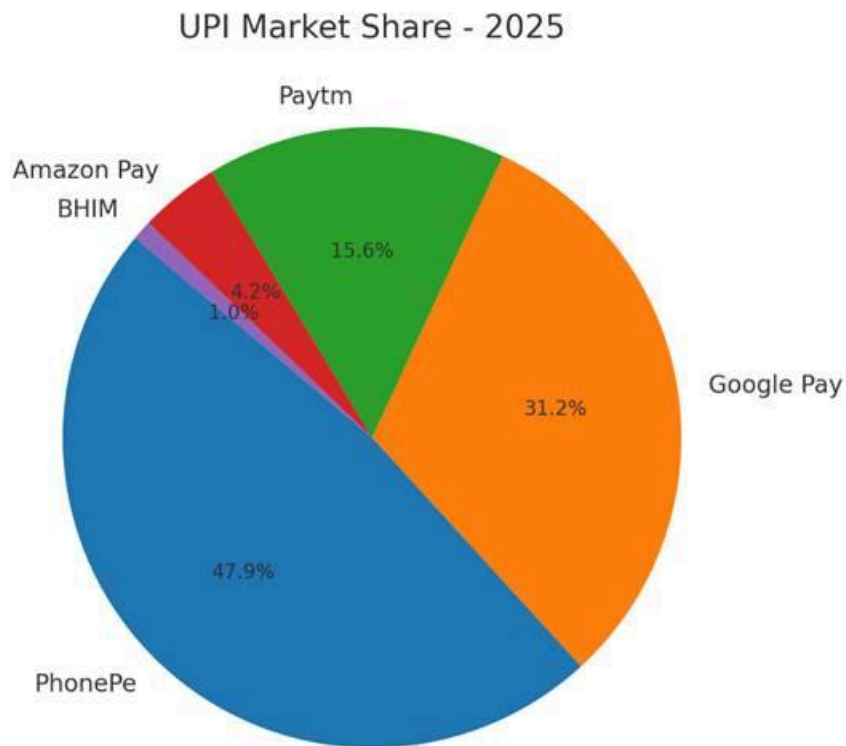
Monthly Transaction Volume – Bar Chart

- PhonePe leads with **6B+ monthly transactions**, showcasing its dominance in day-to-day UPI use.
- Google Pay handles **4B+ monthly transactions**, close to Paytm in user engagement efficiency.
- Paytm records **~2B monthly transactions**, indicating solid usage despite fewer active users.
- Amazon Pay and BHIM lag with under **0.5B transactions**, showing limited scope.
- High volume on PhonePe demonstrates its **deep penetration in small-ticket daily transactions**.



Monthly Transaction Value – Bar Chart

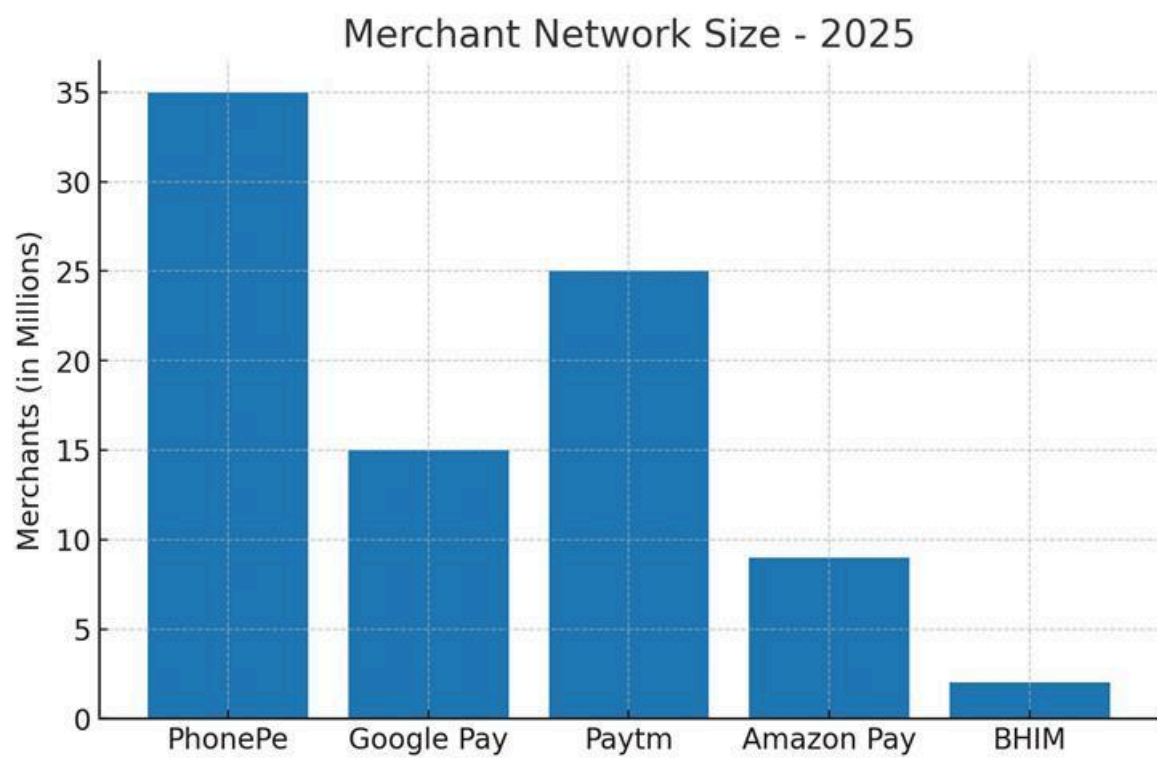
- PhonePe again leads, processing over **₹10 lakh crore monthly**, the highest among peers.
- Google Pay processes **₹7 lakh crore**, indicating higher-value transactions compared to Paytm.
- Paytm contributes **₹4 lakh crore**, maintaining relevance despite smaller share.
- Amazon Pay (₹0.6 lakh crore) and BHIM (₹0.2 lakh crore) reflect limited scale in large-value payments.
- This chart shows **PhonePe + Google Pay dominate high-value transactions**, jointly controlling over 70% of value share.



UPI Market Share – Pie Chart

- **PhonePe (46%)** is the clear market leader with nearly half of UPI share.
- **Google Pay (30%)** secures strong second place, maintaining relevance in metros.
- **Paytm (15%)** shows decent presence but has fallen behind in share growth.
- Amazon Pay (4%) and BHIM (1%) have **marginal roles** in the overall UPI ecosystem.

- Together, **PhonePe + Google Pay** control **~76% of the UPI market**, making them near-duopolistic leaders.



Merchant Network Size – Bar Chart

- PhonePe tops with **35M+ merchants**, strengthening its rural and semi-urban reach.
- Paytm follows at **25M merchants**, backed by its POS devices and QR codes.
- Google Pay has **15M merchants**, growing steadily but still behind Paytm.
- Amazon Pay (9M) integrates mainly with e-commerce and partner platforms.
- BHIM (2M) remains niche, mostly used in government and rural initiatives.

Recent Developments & Trends – Digital Payment Sector

UPI Expansion to Credit Cards

- UPI now supports Rupay credit cards, allowing users to make payments via UPI while accessing credit.
- This is a major step towards integrating credit with instant digital transactions.

Cross-Border UPI Launch

- UPI payments are now accepted in UAE, Singapore, Mauritius, Nepal, Sri Lanka, and France.
- Helps Indian tourists, NRIs, and businesses transact abroad without forex conversion issues.

UPI Lite & Offline Payments

- UPI Lite launched for small offline transactions (under ₹500) without internet.
- Addresses rural connectivity issues and promotes micro-payments.

Integration with CBDC (Digital Rupee)

- RBI's e-Rupee pilot is being integrated into digital payment apps.
- Expected to co-exist with UPI, offering instant, central bank-backed currency transactions.

Rising BNPL (Buy Now, Pay Later) Models

- Paytm, Amazon Pay, and fintechs offer BNPL & Pay Later credit lines.
- Popular among millennials & Gen Z for small-ticket purchases (food, travel, shopping).

Voice-Enabled & AI Payments

- PhonePe and Paytm introduced voice-based payment confirmations in regional languages for shopkeepers.
- AI fraud detection and personalized financial recommendations are becoming mainstream.

Merchant Ecosystem Expansion

- PhonePe has the largest merchant base (35M+), aggressively expanding in rural/semi-urban India.
- Partnerships with retail chains, petrol pumps, transport services driving adoption.

Super-App Evolution

- Paytm is transitioning into a financial services super-app (loans, insurance, investments, ticketing, POS devices).
- Amazon Pay integrates deeper with its Prime ecosystem, while PhonePe expands into app store + investments.

Regulatory Changes

- RBI now mandates MDR (Merchant Discount Rate) exemptions only on UPI-P2P, while pushing sustainable revenue models for fintechs.
- KYC norms tightened for wallets and BNPL players to ensure compliance.

Shift in Competitive Dynamics

- PhonePe leads UPI market (~46% share), followed by Google Pay (30%) and Paytm (15%).
- Wallets like Freecharge, Mobikwik lost relevance, while Amazon Pay focuses on loyalty-driven niche.

Digital Lending Integration

- UPI players integrating with banks/NBFCs for instant credit, micro-loans, and EMI options.
- Example: Paytm Postpaid, Amazon Pay ICICI card, PhonePe's mutual funds and insurance.

Global Recognition of India's Model

- India contributes ~50% of global real-time payment transactions.
- Other countries are studying the UPI model for adoption (e.g., Brazil, Indonesia).

SWOT Analysis – Digital Payment Sector

Strengths

- **Explosive adoption:** UPI crossed 14B+ monthly transactions (2025).
- **Global leadership:** India contributes ~50% of world's real-time payments.
- **Strong ecosystem support:** Backed by RBI, NPCI, and govt. initiatives.
- **High smartphone & internet penetration** (800M+ users).
- **Interoperability of UPI** across banks, apps, and merchants.
- **High security:** Multi-layer authentication (PIN, biometric, OTP).
- **Wide merchant acceptance:** 50M+ merchants onboarded.

- **Cost efficiency:** Low transaction cost (zero MDR for UPI-P2P).
- **Financial inclusion:** Rural and semi-urban adoption rising.
- **Innovation focus:** UPI Lite, voice-enabled payments, offline modes.

Weaknesses

- **Low profitability:** Zero MDR limits revenue models for apps.
- **High dependency on UPI:** Wallets/cards declining in usage.
- **Reliance on banking infra:** Technical downtimes cause failures.
- **High customer churn:** Switching between apps (Paytm, GPay, PhonePe) is easy.
- **Complex KYC norms:** Onboarding delays frustrate users.
- **Thin margins:** Heavy reliance on cashback/discounts for user acquisition.
- **Limited rural infrastructure:** Network/connectivity issues in villages.
- **Regulatory hurdles:** Frequent changes by RBI/NPCI affect operations.
- **Data privacy concerns:** Rising risks of phishing, scams, fraud.
- **Fragmented market:** Too many apps, no single dominant ecosystem.

Opportunities

- **Cross-border UPI expansion** (UAE, Singapore, France, Sri Lanka).
- **CBDC (Digital Rupee)** integration with apps.
- **Embedded finance:** Loans, insurance, mutual funds via apps.
- **Partnerships with NBFCs & banks** for digital lending.
- **Gamification & rewards** to drive customer stickiness.
- **AI-driven personalization** for fraud detection & smart offers.
- **Sectoral integration:** Transport, healthcare, education, govt services.
- **Rural India push:** Untapped population still prefers cash.
- **5G adoption:** Faster, more secure mobile transactions.

- **SME digitization:** Digital payments adoption by small businesses.

Threats

- **Intense competition:** PhonePe, Paytm, GPay in price/reward wars.
- **Cybersecurity risks:** Rising phishing attacks & UPI fraud.
- **Bank downtimes:** UPI failures hurt trust in the ecosystem.
- **Regulatory restrictions:** Govt. may impose MDR or new compliance rules.
- **Funding slowdown:** Fintechs struggle without profitability.
- **Market saturation:** Urban markets nearly fully tapped.
- **Global entrants:** Apple Pay, WhatsApp Pay may eat market share.
- **Legal disputes:** Issues around data localization & privacy laws.
- **Over-reliance on cashback:** Unsustainable user retention strategy.
- **Technological disruptions:** Blockchain-based alternatives or CBDC may replace UPI-led dominance.

Conclusion: Digital Payment Sector – Competitor Benchmarking Analysis

Who Leads (2025 Snapshot)

- PhonePe emerges as the market leader:
 - User base: 500M+ registered users, largest active base in India.
 - Transaction value: Leading UPI transactions (45%+ market share).
 - Merchant reach: 37M+ merchants onboarded.
 - Growth rate: Consistently adding users & merchants faster than rivals.
 - Funding & backing: Supported by Walmart, giving strong capital stability.
 - Innovation: Launched lending, mutual funds, insurance, and cross-border UPI pilots.
 - Brand reputation: High recall in Tier-2/3 cities and rural India.

- Google Pay stands out for urban dominance & user experience:
 - Clean UI, trust factor, and seamless UX keeps it the favorite in metros.
 - Strong retention among salaried professionals and young urban users.
- Paytm is reinventing itself as a super app:
 - Despite regulatory restrictions, it has deep integration across payments, credit, wealth, and commerce.
 - Key strength is in merchant services and Paytm Soundbox penetration.

Summary:

- **PhonePe** → Clear leader in **scale, penetration, and financial ecosystem building**.
- **Google Pay** → Strong in **UX, urban appeal, and reliability**.
- **Paytm** → **Versatile product suite**, but facing compliance & profitability challenges.

What's Next for the Market

- Global expansion of UPI → Cross-border UPI in UAE, Singapore, Europe, and Asia-Pacific will give Indian fintechs a global footprint.
- CBDC (Digital Rupee) → Could integrate into payment apps, reshaping transaction flows.
- Fintech–Bank collaborations → More partnerships for lending, BNPL, and embedded finance.
- 5G & AI adoption → Faster, smarter, and more secure transactions.
- Rural market digitization → Huge opportunity as rural India still prefers cash.
- SME & MSME digital push → Expanding merchant acceptance for small businesses.

- Focus on cybersecurity → Rising fraud will push companies to invest heavily in AI-driven fraud detection.
- Profitability challenge → With zero MDR, companies will focus on value-added services (loans, insurance, investments) for revenue.
- New entrants & consolidation → Big Tech (Apple, WhatsApp, Amazon) may disrupt, while smaller players may merge or exit.
- Gamified loyalty programs → Rewards, gamification, and cashback will evolve to retain users without burning too much cash.

References

UPI Market Trends & Transaction Data

- NPCI data showing UPI's monthly volume and value:
 - July 2025: ~19,467.95 million transactions (1,947 crore) with value of ₹25,08,498.09 crore [NPCIETBFSI.com](https://www.npci.org.in/press-releases).
 - June 2025: ~18.395 billion transactions valued at ₹24.04 lakh crore [NPCITech Research Online](https://www.npcitechresearch.com/)[The Economic Times](https://www.economic-times.com/).
- Economic Times reported UPI's average daily volume rising from 127 million in January to 675 million by August 2025; average daily value rose from ₹75,743 crore to ₹90,446 crore [The Times of India](https://www.economic-times.com/)[The Economic Times](https://www.economic-times.com/).
- In June 2025, UPI processed ~613 million daily transactions, with total volume of 18.40 billion and value of ₹24.04 trillion; FY24 had 131 billion transactions worth ₹199.89 trillion [Elets BFSI](https://www.eletsbfsi.com/).
- May 2025: UPI handled 18.68 billion transactions (23% YoY growth) and ₹25.14 lakh crore in value; FY25 recorded 185.8 billion transactions worth ₹261 lakh crore [DD News](https://www.ddnews.com/).
- India accounted for ~48.5% of global real-time payments by volume in FY2025 [DD News](https://www.ddnews.com/).

Market Share & Company Metrics

- PhonePe held ~46.5%–47.2% UPI market share in June 2025, processing ~8.54–8.55 billion transactions worth ₹11.98–11.99 lakh crore [The Bridge Chronicle](#)[Business Standard](#)[The Economic Times](#)[Tech Research Online](#)[Rediff](#).
- Google Pay had ~35.6% share in volume and ~35% in value (6.54 billion transactions, ₹8.41 lakh crore) in June 2025 [Tech Research Online](#)[The Economic Times](#).
- Paytm recorded ~6.9% share in volume and ~5.6% in value (1.27 billion transactions, ₹1.34 lakh crore) in June 2025 [Tech Research Online](#)[The Economic Times](#).
- Combined, PhonePe and GPay held ~82–83% of UPI market share in June 2025 [Tech Research Online](#)[Instagram](#).
- CoinLaw report (May 2025): PhonePe has over 600 million registered users, with 140 million daily active users (DAUs) and monthly transactions exceeding ₹9.5 trillion [CoinLaw](#).

Trends & Future Outlook

- India's digital economy projected to be USD 1 trillion by 2030; UPI trends and smartphone reach underpin this growth [Payments CMI](#).
- Shift from cash: Even in FY2025, cash still accounted for ~60% of consumer expenditure; UPI dominated real-time digital payments [Payments CMI](#).

Regulatory & Policy Developments

- MDR (Merchant Discount Rate) may be introduced for large merchants (0.2–0.3%) to support sustainability of UPI ecosystem [Reuters](#).
- Complaints emerge of GST overreach, where some small merchants are resisting UPI due to potential tax scrutiny [The Economic Times](#).
- WhatsApp Pay permitted expansion to all 500 million+ of its users, and extension granted for compliance with the 30% UPI market share cap [Financial Times](#).

Company Founding & Product Info

- PhonePe: Founded Dec 2015; acquired by Flipkart in April 2016; launched UPI app with Yes Bank, later expanded into hyperlocal e-commerce and investment services [Wikipedia](#).
- Google Pay (India): Launched as “Tez” in 2017; rebranded in 2018; available in 96 countries as of 2025 [Wikipedia+1](#).
- Paytm: Launched Payments Bank in 2017; conducted India’s largest-ever IPO in 2021